

Standard Operating Procedure

Customer Escalation Handling

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Department	Customer Service	Document Owner	Customer Service Manager
Approved By	Director of Operations	Next Review Date	February 3, 2026

1. PURPOSE

This document covers the escalation process for customer complaints and service issues at Cornerstone Business Solutions. It picks up where initial complaint handling ends - when a rep determines that a situation requires a higher level of authority, expertise, or decision-making than they can provide. It defines who handles escalations, how the handoff works, what the receiving party is responsible for, and how the situation gets resolved and closed.

A well-defined escalation process reduces resolution time, gives front-line reps clear boundaries, and limits miscommunication between the rep, the customer, and the escalation team.

2. SCOPE

This procedure applies to all Customer Service Representatives, Supervisors, and Managers involved in handling escalated customer complaints or service issues. It covers escalations initiated through any inbound channel - phone, email, live chat, or written correspondence.

This document does not cover proactive outreach to customers regarding known service disruptions or product issues. That process is addressed separately in SOP-CS-005 (Proactive Customer Communication).

3. DEFINITIONS

Term	Definition
Escalation	The transfer of a customer complaint or service issue from the rep who received it to a higher authority due to complexity, customer request, financial impact, or legal risk.
Escalating Rep	The Customer Service Representative who received the original complaint and is initiating the transfer to a Supervisor or Manager.
Receiving Party	The Supervisor or Manager who accepts the escalated complaint and takes ownership of its resolution.

Warm Transfer	An escalation in which the escalating rep stays on the line or in the chat to introduce the customer and provide context to the receiving party before stepping away.
Cold Transfer	An escalation in which the customer is transferred directly to the receiving party without the escalating rep facilitating the introduction. Used only when a warm transfer is not possible (e.g., Supervisor unavailable or channel limitations).
Escalation Ticket	A ticket in the company ticketing system designated as an escalation, containing the full complaint history, escalation reason, and all notes from the original rep.
Resolution Owner	The individual who has accepted ownership of the escalation and is responsible for its resolution and closure. Once assigned, the resolution owner does not change without documented handoff.

4. ESCALATION TRIGGERS

An escalation is required when any of the following conditions are present. Reps should not attempt to negotiate or resolve beyond their authority before escalating when these triggers apply.

#	Trigger	Notes
1	Customer requests a supervisor or manager	Do not ask the customer why or attempt to resolve before transferring. Acknowledge the request and initiate the escalation immediately.
2	Resolution requires a refund, credit, or exception outside the rep's approved authority	See the Resolution Authority Guidelines in SOP-CS-002, Section 7. When in doubt, escalate rather than deny.
3	Customer has made a legal threat or referenced a regulatory agency	Do not respond to the substance of the threat. Acknowledge the customer, place the interaction on hold, and notify your supervisor immediately.
4	The complaint involves an allegation of employee misconduct	Do not discuss the allegation with the customer beyond acknowledgment. Escalate to the Customer Service Manager, who will involve HR as needed.
5	The customer is threatening to dispute a charge or initiate a chargeback	Escalate to Supervisor. Note the threat in the ticket immediately, including date, time, and the customer's exact words.
6	Two resolution attempts have been made without success	Document both attempts and the outcome in the ticket before escalating.
7	The complaint involves a pattern the rep has seen from other customers	Flag this in the escalation notes. The Supervisor will determine whether a broader review is needed.

8	The customer is in significant emotional distress	Use judgment. If a customer is unable to communicate or the conversation has become unproductive, a calm handoff to a Supervisor can reset the interaction.
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5. ROLES AND RESPONSIBILITIES

Role	Responsibilities
Customer Service Rep	- Identifies escalation trigger and makes the decision to escalate without delay - Updates the ticket with full complaint history and escalation reason before or during transfer - Conducts warm transfer whenever possible - Does not make commitments to the customer about outcomes before or during the escalation - Follows up with the receiving party if no ticket update is made within the SLA window
Supervisor	- Accepts Tier 2 escalations and takes full ownership of resolution - Reviews ticket history before speaking with the customer - Keeps the customer informed of status at each step - Escalates to Customer Service Manager when Tier 3 criteria are met - Documents all actions, commitments, and outcomes in the ticket - Closes the ticket only when resolution is confirmed or a final determination is documented
Customer Service Manager	- Accepts Tier 3 escalations involving financial authority, legal risk, or misconduct - Coordinates with Finance, Legal, or HR as required - Communicates directly with the customer for Tier 3 issues - Reviews escalation trends monthly and identifies process or training gaps - Approves all refunds and credits above the Supervisor authority threshold

6. PROCEDURE

Phase 1 - Preparing the Escalation

6.1 Escalating Rep Actions

- As soon as an escalation trigger is identified, stop attempting to resolve the complaint independently. Continuing to negotiate after a trigger delays resolution and can create conflicting commitments.
- Inform the customer that you are going to connect them with a Supervisor who can assist further. Do not use language that implies the Supervisor is a last resort or that the rep has failed. Suggested phrasing: "I want to make sure you get the best resolution here, so I am going to bring in my supervisor."
- Before or during the transfer, update the escalation ticket with the following: full description of the complaint, channel and date/time received, all steps taken and responses given, reason for escalation

(reference the trigger from Section 4), any commitments made to the customer, and customer's current emotional state if relevant.

4. Attempt a warm transfer whenever possible. Steps for a warm transfer: place the customer on a brief hold, contact the Supervisor directly, provide a verbal summary of the situation, bring the customer back on the line, introduce the Supervisor by name, and confirm the customer is comfortable before stepping away.
5. If a warm transfer is not possible (Supervisor unavailable, email or chat channel), document the full escalation summary in the ticket, set the ticket status to Escalated, and notify the Supervisor via the internal escalation notification in the ticketing system. Do not leave the ticket without an assigned receiving party.

Phase 2 - Accepting the Escalation

6.2 Supervisor Actions

1. When notified of an escalation, review the full ticket history before contacting the customer. Do not contact the customer until you have a clear picture of what has already been communicated.
6. Acknowledge the escalation in the ticketing system within the timeframes defined in Section 7. Update the ticket status from Escalated to In Review.
7. Contact the customer and open with an acknowledgment of the situation and a commitment to resolution. Avoid revisiting decisions already made by the original rep unless there is a documented reason to do so. Reversing a rep's decision without cause creates inconsistency and undermines the team.
8. Assess the situation and determine the resolution path. For issues within Supervisor authority, proceed to Phase 3. For issues requiring Tier 3 handling, notify the Customer Service Manager and initiate the handoff per Section 6.3.

Phase 3 - Tier 3 Handoff (when applicable)

6.3 Supervisor to Manager Handoff

1. Contact the Customer Service Manager directly and provide a verbal summary of the situation before updating the ticket. Do not escalate to Tier 3 via ticket alone.
9. Update the ticket with the reason for Tier 3 escalation, all actions taken at Tier 2, and any commitments made to the customer at that level.
10. Notify the customer that the matter is being reviewed at the management level and provide a specific callback or follow-up timeframe. Do not leave the customer without a timeline.
11. The Customer Service Manager assumes full ownership at this point. The Supervisor remains available for context but does not continue to communicate with the customer unless asked.

Phase 4 - Resolution and Closure

6.4 Resolution Owner Actions

1. Once a resolution has been determined, communicate it to the customer clearly and in full. If the resolution includes a credit, refund, or exception, confirm the amount and timeframe before ending the interaction.
12. Document the complete resolution in the ticket: decision made, rationale, amount of any credit or refund issued, approval obtained from the appropriate authority (if applicable), and method and date of customer communication.
13. Confirm the resolution with the customer before closing the ticket. For phone, confirm verbally. For email or chat, send a written summary and allow one business day for a response before closing.

14. If the customer rejects the resolution, do not close the ticket. Document the rejection and the customer's stated reason, and escalate to the next tier if one exists. If the issue has already been handled at Tier 3, notify the Customer Service Manager for a final determination.
15. Close the ticket with a resolution code. Required fields at closure: resolution type, tier at which resolution was reached, total time to resolution, and whether any process or training issue was identified.

7. ESCALATION RESPONSE TIME STANDARDS

The following timeframes apply from the point the escalation ticket is created and assigned.

Escalation Tier	Acknowledge Customer	First Substantive Update	Resolution Target
Tier 2 - Supervisor	- Within 1 hour (phone/chat) - Within 4 business hours (email)	Within 4 business hours	Within 1 business day
Tier 3 - CS Manager	Within 2 business hours	Within 1 business day	Within 3 business days
Tier 3 - Legal/Financial Risk	Within 2 business hours	Within 1 business day	Per Legal or Finance guidance

Tickets that will not meet their resolution target must have a documented reason and Supervisor or Manager approval noted in the ticket before the deadline passes. Do not allow SLA timers to expire without a note.

8. COMMON ERRORS TO AVOID

Error	Why It Matters
Continuing to negotiate after a trigger is present	Each additional attempt after the trigger lengthens the interaction, may create commitments the rep cannot keep, and often results in a more frustrated customer by the time the Supervisor gets involved.
Cold-transferring without a ticket update	The receiving party has no context and the customer is forced to repeat the entire situation. This is one of the most common drivers of customer dissatisfaction during escalations.
Making commitments during the handoff	Reps sometimes try to reassure customers during a transfer with statements like "they will take care of this for you" or "you should get a refund." These statements create expectations the receiving party may not be able to meet.
Closing a ticket before resolution is confirmed	A ticket closed too early looks like a resolved complaint in reporting. If the customer calls back, there is no open ticket to reference and the history may be harder to reconstruct.

Failing to document the escalation reason	Without a clear reason, the receiving party cannot quickly assess the situation. It also makes trend analysis impossible - if escalation reasons are not tracked, patterns cannot be identified.
Skipping the Tier 2 step for convenience	Going directly to the Customer Service Manager for issues that a Supervisor could handle creates bottlenecks and undermines the tiered structure.

9. RELATED DOCUMENTS

Document ID	Title	Location
SOP-CS-002	Customer Complaint Handling	CS SharePoint
SOP-CS-005	Proactive Customer Communication	CS SharePoint
SOP-MKT-004	Social Media Complaint Handling	Marketing SharePoint
CS-FORM-008	Escalation Handoff Form	CS SharePoint
HR-POL-006	Employee Conduct Policy	HR SharePoint

10. REVISION HISTORY

Version	Date	Revised By	Summary of Changes
1.0	September 9, 2024	CS Manager	Initial release. Developed in response to Q2 escalation audit findings identifying inconsistent handoff practices and incomplete ticket documentation.
1.1	February 3, 2025	CS Manager	Added Section 8 (Common Errors to Avoid) based on recurring issues identified in Q4 QA review. Clarified warm transfer steps in Section 6.1. Minor wording updates throughout.

11. APPROVAL

Role	Name	Date Approved
Customer Service Manager		
Director of Operations		